Acquisition financing comparison

Public-information conditional case | Annual public projection | USD millions

Question: how do cash, borrowing and share consideration affect liquidity, debt service and dilution?

Strict actual-company recommendation: Blocked — insufficient verified evidence.

Under the stated public-information assumptions and analytical thresholds, the model indicates only scoped scenario results; no overall financing preference is issued because material omitted private obligations are not bounded.

Structure	New debt	Min cash	Interest	Screens
Cash-first	2,691.4	-1,904.4	1,208.2	Breach
Liquidity-first	2,949.2	-1,840.5	1,261.1	Breach
Mixed consideration	1,521.2	-1,615.7	798.4	Breach

Capacity and funding

Structure	Acquisition debt capacity	Residual analytical equity
Cash-first	No feasible solution	No feasible solution
Liquidity-first	No feasible solution	No feasible solution
Mixed consideration	No feasible solution	No feasible solution

A missing feasible point includes the zero-acquisition-debt test under this operating policy; it is not proof of zero standalone lending capacity. The grid can miss narrow feasible regions. Fee convention: issued_debt.

Cash, working capital and uses

Projected closing cash: acquirer 1,336.9 (accessible 1,002.7), target 96.1 (accessible 0.0). Trade working capital feeds postclose cash changes; FL receivables remain constant and other operating cash is a proxy.

Uses separately identify purchase consideration, award reserves, debt repayment, call premiums, accrued interest, transaction expenses, financing fees and collateral. No terminated FL facility contributes liquidity.

What drives the result?

Scenario	Structures passing the model screens
Lower reinvestment and dividends suspended	Mixed consideration
Lower reinvestment, no dividends, delayed synergies	Mixed consideration
Central cost downside	None
More fixed cost behaviour	None
More variable cost behaviour	None
Linked lower investment - mild	Mixed consideration
Linked lower investment - stronger	None

Operating uncertainty

Public accounting costs are reconciled to operating profit and the stated D&A add-back. The assumed 65–95% variable share of nonrent operating costs preserves the same starting EBITDA. Matching that baseline does not validate operating leverage. Impairment costs are not silently normalised away.

Lower spending with unchanged growth is a mechanical sensitivity. Linked cases apply assumed 1–2 percentage-point growth penalties; no precise capex-to-growth elasticity is claimed. Maintenance/growth spending splits are analyst choices. Compare dividend suspension, synergy delivery and refinancing separately.

Timing and execution limits

All selected-frequency periods, including closing, enter capacity and reverse stress. Beginning-principal interest and period-end payments approximate intra-period maturities. Quarterly tests reduce timing aggregation but do not establish daily liquidity. Public forecasts remain annual because historical quarterly inputs are incomplete.

Post-breach balances continue mechanically to identify funding needs; they are not an executable path. Refinancing is an assumption, not a commitment. Analytical leverage and coverage screens are not legal covenants. Private consent and exceptional settlement obligations prevent a complete company-specific financing preference.

Source trail

DKS and FL FY2024 Forms 10-K (27 March 2025), Q3 2024 cash-flow statements, merger agreement (15 May 2025), and original indentures. Exact extracted claims, units and dates are in Sources and source-register.json. Hashes establish integrity, not accuracy. Machine-assisted review; no independent human signoff.